

Module 10

Business and

Company Law

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

WRITTEN QUESTIONS (Total: 100 marks)

Answer 1(a)

The question required candidates to analyse the issues of passing the title of property to the buyer by a non-owner with a discussion on the common law rule of *nemo dat quod non habet* and its exceptions.

In determining who has the title of the property, discussion on the general rule under s.23(1) of the Sale of Goods Ordinance (Cap.26) ("SOGO") and the exceptions under ss.23 to 27 is required.

The general rule is *nemo dat quod non habet* under common law. It means that "no one gives what they do not have". This rule is now codified under the SOGO. The rule represents that where goods are sold by a person who is not their owner, and who does not sell them under the authority or with the consent of the owner, the buyer acquires no better title to the goods than the seller had, unless the owner of the goods is by his/ her conduct precluded from denying the seller's authority to sell under s.23(1).

The common law rule has developed some exceptions to protect the innocent and *bona fide* purchaser who unknowingly purchases the goods from a non-owner but still obtains the legal title of the goods. This rule is now codified under the ss.23 to 27.

The exceptions are sale by estoppel (the conduct of an owner precluded from denying the seller's authority to sell) (s.23(1)), sale by mercantile agent (who deals with the goods in the ordinary course of his/ her business, in which case he/ she will be deemed to have acted with the owner's authority) (s.23(2)(a)), sale by power of sale (a person with power to sell them under a court order or under a statutory power of sale) (s.23(2)(b)), sale by market overt (goods are openly sold in a shop or market) (s.24), sale under a voidable title (goods sold under a voidable contract (e.g. misrepresentation, undue influence, duress, fraud) by the seller and the buyer re-sells the goods before the seller has actually avoided it) (s.25), sale by a seller in possession after sale to second buyer (goods sold but remains in possession of seller who has re-sold the goods to other) (s.27(1)), sale by a buyer in possession to second buyer (goods sold to a buyer (not fully paid or cheque dishonored) with possession and the buyer re-sells the goods to other) (s.27(2)).

The innocent and *bona fide* buyer may in theory claim against the seller for the price paid for the goods and damages under s.14 (sale by owner with title). In reality, the seller may often be a fraudster or a thief who has nothing or has disappeared. It is unlikely that the price paid and the damages may be recovered from the seller.

In this case, in theory, Kevin may claim against Peter but Peter has already absconded. As Peter has no title to the computer and no exception applies hereto and the sale from Peter to Kevin was not made by an owner, no title is passed to Kevin. Jason is able to get back his computer.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Sale of Goods Ordinance (Cap.26).

Answer 1(b)

The question required candidates to analyse potential legal liability under the anti-money laundering law.

Receiving money from an unknown source is abnormal. With no proof and documentation to support the fund transfer, it is difficult to make a reasonable man to believe that the fund transfer from an unknown source is lawful.

If there is any suspicion about the financial transactions regarding the lending of the bank account, e.g., the funds may be the proceeds of crime, Peter is obliged by s.25A of the Organized and Serious Crimes Ordinance (Cap.455) ("OSCO") to file a suspicious transaction reports ("STRs") to the Joint Financial Intelligence Unit ("JFIU"), which is operated by both the Police and the Customs.

The JFIU would analyse and disseminate intelligence on STRs to local and overseas law enforcement agencies for follow-up action. Failing to report knowledge or suspicion of crime proceeds or terrorist property is a criminal offence, which carries a maximum penalty of a fine of HK\$500,000 and imprisonment for three years under s.25A(8).

In this case, it is highly suspicious that the lending of the bank account may involve an offence under the anti-money laundering law. Peter is advised to report the matter to the JFIU and not to lend the bank account to his friend.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Organized and Serious Crimes Ordinance (Cap.455).

Answer 2(a)

The question required candidates to explain the nature of a debenture and analyse the legal and registration requirements of the two charges under the company law.

A debenture is a loan agreement evidencing the indebtedness made by a company as a debtor and a lender as a creditor with or without a charge. The Companies Ordinance (Cap.622) does not define a debenture. S.2 provides that a debenture, in relation to a company, includes debenture stock, bonds and other debt securities of the company whether or not constituting a charge on the assets of the company.

A debenture is usually issued with a charge as a security. There are two types of charges, namely fixed and floating charges, which are assurances and undertakings from a company to the company's lenders and creditors for the repayment of loans.

A copy of charges together with the required particulars of the charges, and the instruments creating the charges must be delivered to the Registrar of Companies within one month after their creation for registration under s.335. Failure to register the charges will render the charges void against the liquidator and every creditor of the company under s.337.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 2(b)

The question required candidates to analyse the nature and priority of the two charges under the winding-up law.

A floating charge is usually made on the assets with fluctuating nature such as a company's stock or book debts, the values of the properties are usually not fixed by the time the charge is created. It has the following three characteristics as per the case of *Re Yorkshire Woolcombers Association [1904]*:

- (i) It is a charge on the assets which can be present or future;
- (ii) The class of assets keeps changing in the ordinary course of business of the company and would be changing from time to time; and
- (iii) Until some future step is taken by the chargee, the company may carry on its business in the ordinary way and deal with the assets, and the assets are fluctuating.

A fixed charge is usually made on a fixed asset such as land and buildings, the values of the properties are usually ascertained at the time the charge is created. If land and buildings are used as the security, the charge must be created by a deed and registration must be registered in the Land Registry.

As a general rule, the priority of a fixed charge is always over and above a floating charge.

A floating charge does not attach to the assets before its crystallisation, i.e., the charge does not fix onto the assets.

In *Re Brightlife Ltd. [1986]*, a floating charge becomes a fixed charge if:

- (i) the company is wound up;
- (ii) the company ceases to carry on business; or
- (iii) there is an act of intervention by a chargee.

The issue is that the floating charge has both a negative pledge clause and an automatic crystallisation clause. The effect of both clauses is that a floating charge can prevent the creation of a later fixed charge although the asset is floating in nature and a floating charge will be crystallised as a fixed charge. It has become a question of some controversy whether such clauses are legally valid. The common law position is unclear as to the validity of both a negative pledge clause and an automatic crystallisation clause. The clauses may offend the general rule that the fixed charges take precedence over floating charges, but at the present time it is unclear what view the court will eventually take.

S.267 provides that where a company is being wound up, a charge which, when created, was a floating charge on the undertaking or property of the company and which was also created within 12 months of the commencement of the winding-up shall, unless it is proved that the company immediately after the creation of the charge was solvent, be invalid, except to the amount of any cash paid to the company at the time of or subsequently to the creation of, and in consideration for, the charge, together with interest on that amount at the rate specified in the charge or at the rate 12% per annum, whichever is the lesser amount.

In this case, the floating charge was created within 12 months before winding-up and only HK\$0.5 million was made by cash consideration to the Company and it is unlikely that the full amount of HK\$1 million of floating charge is valid. Hence, the fixed charge shall take priority over the floating charge.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32).

Answer 3(a)

The question required candidates to analyse the relationship between Vincent and the Firm and Vincent's status as an employee.

At common law, the status as an employee depends on a number of factors such as control.

The distinction between an employee and an independent contractor is based on the following three common law tests:-

- (i) Control Test: It is based on the control exercisable over the service-provider;
- (ii) Integration Test: It is based on whether the service-provider is part and parcel of the organization; and
- (iii) Multi-factor Test: It is based on the multiple factors of the service-provider in order to determine their relationships.

The Multi-factor Test is a mixed test which refers to the entire situation and is much wider than the control and integration tests and from the perspective of mutuality of obligations.

The Multi-factor Test is preferable as it looks into various factors of the relationships between the parties including the elements of control, the title of the post, the benefit and the remuneration packages etc.

In *Ready Mixed Concrete (South East) Ltd. v Minister of Pensions and National Insurance [1968]*, a lorry driver who delivered cement for RMC Ltd. signed a contract as a self-employed contractor. He wore RMC uniform and bought a lorry with RMC logo from RMC Ltd. on hire-purchase. He drove the lorry on RMC's business only for a certain number of hours per week. He was paid based on the amount of cement delivered per mile and had to hire a replacement if he could not work. It was held that the lorry driver was not an employee but an independent contractor engaged on a contract for services.

In this case, it is likely that Vincent is considered as an agent as he has total control of working place and hours of work. He is also authorised to sign accounts reports in the name of the Firm and in the capacity as an agent and a consultant for the Firm. Vincent is an agent and not an employee of the Firm.

Answer 3(b)

The question required candidates to analyse the liability of the Firm as a principal.

In an agency contract, an agent is a middle man between the other contracting party and the principal. Vincent is a consultant and an agent of the Firm and the Firm is the principal. Vincent has authority to sign the report for the Firm.

If an agent, acting under the principal's instructions and within authority, becomes liable to legal action by a third party based on contract or tort, the principal has to indemnify the agent for all the damages and legal cost incurred from the action.

In this case, as Vincent is an agent and consultant of the Firm while the Firm is the principal. Vincent is authorised to sign the report for the Firm, the Firm is liable for a contract or tort made by Vincent. As Vincent is a disclosed agent, the Bank can sue the Firm as the principal directly.

Answer 3(c)

The question required candidates to analyse whether the Firm should be held vicariously liable.

An employee is governed by the employment law under common law and the Employment Ordinance (Cap.57) ("EO").

Only an employee is entitled to the protections under the EO, Mandatory Provident Fund Schemes Ordinance (Cap.485) and the common law including Mandatory Provident Fund, wages, holidays, sick leave, termination, severance pay, long service pay, maternity protection and year-end payment redundancy and vicarious liability etc.

At common law, an employer is liable for the wrongful acts of the employee under the doctrine of vicarious liability if:

- (i) the acts are done by the employee;
- (ii) the employee committed the tortious acts; and
- (iii) the acts are carried out in the course of employment.

The negligent misstatement was prepared in the course of employment of employee, it is likely that the employer is liable vicariously (the judges have also laid down the "close connection test" in court cases).

In this case, if Vincent is paid a salary as an employee, he would be protected by the employment law. The Firm is liable under the common law doctrine of vicarious liability. The answer is same as Question 3(b).

Note: Unless otherwise stated, the references to the above provision(s) are made to the Employment Ordinance (Cap.57).

Answer 3(d)

The question required candidates to analyse whether Vincent is liable for negligent misstatement.

In considering whether Vincent owes the Bank a duty of care, it should be established that there is a "special relationship" between Vincent and the Bank. The test is that laid down in *Caparo Industries plc v Dickman* [1990].

In *Caparo Industries plc v Dickman* [1990], it was held that the defendant must be in a position to foresee that the plaintiff shall rely on his/ her advice or information, and refused to extend the duty of care to the potential investor; the potential investor was not proximate enough to support the existence of a neighbour relationship. The following factors of proximity are required for auditors per *Caparo Industries plc v Dickman* [1990]:

- (i) a sufficient relationship of proximity as per *Hedley Byrne & Co. Ltd. v Heller Partner* [1964];
- (ii) reasonable foresight of harm; and
- (iii) fair, just and reasonable to impose the duty.

Following *Caparo Industries plc v Dickman* [1990], the issues are whether Vincent knows the purpose of his accounts report is prepared for loan application to the Bank, it is foreseeable reliance on his accounts report by the Bank and it is fair, just and reasonable to impose the duty on a practising CPA.

According to the circumstances, this may be a case of reasonable reliance. In light of the court's decisions in *Caparo Industries plc v Dickman* [1990], it seems that there is sufficient degree of proximity to find a duty of care between Vincent and the Bank.

In this case, as Vincent signed the accounts report for the loan application for the company, Vincent owes a duty of care to the Bank and is liable for negligent misstatement.

Answer 4

The question required candidates to analyse the Codes on Takeovers and Mergers and Share Buy-backs (the "Takeover Codes") issued by the Securities and Future Commission ("SFC"). A mandatory offer shall be made where a person's shareholding in the target reaches 30% control trigger.

The Takeover Codes provides the framework for making takeover offers. The Takeover Codes are issued by the SFC for governing the takeovers and mergers of companies.

Companies subject to the Takeover Codes are: (i) public companies in Hong Kong; companies with a primary listing of their equity securities in Hong Kong; and (ii) real estate investment trusts with a primary listing of their units in Hong Kong.

Under the Takeover Codes, except with the consent of the SFC, a mandatory offer is required by Rule 26 when a person or group of persons acting in concert together must make a general offer to buy the remaining shares in a company if:

- (i) it buys 30% or more of voting shares in the company; or
- (ii) it already holds between 30% and 50% of the voting shares and increases that holding by more than 2% in any 12-month period.

The comparable offer or proposal for each class of share capital required by Rule 14 should normally be subject to similar conditions. It may, however, be put by way of a scheme to be considered at meetings separately in respect of each class of the equity share capital.

The Takeover Codes have no force of law and no legal sanction will be imposed. Hence, a breach of the Takeover Codes is only regarded as a breach of the Listing Rules of Hong Kong Stock Exchange.

In this case, Bidder Co. shall make a mandatory offer to all the ordinary shareholders and a comparable offer to all the preference shareholders of Target Co. according to the Takeover Codes.

Note: Unless otherwise stated, the references to the above rule(s) are made to the Codes on Takeovers and Mergers and Share Buy-backs.

Answer 5(a)

The question required candidates to analyse the issue of remoteness of damages.

The basic rule of damages is that damages shall arise in the ordinary course of events from the breach of contract. That is to say, damages arising out of natural and probable consequences of breach of contract are recovered at common law.

The rationale of the basic rule is that the damages are awarded to compensate the innocent party and the rule is not to punish the defaulting party. In general, damages are usually judged taking into account of the actual and genuine loss suffered by the innocent party. The rule does not allow damages which are indirect and remote.

Remote damages are damages that arise from the indirect, unusual and unexpected events, not reasonably to be anticipated by the defaulting party. The common law rule regards only the direct and proximate results from the breach of contract. Remote or indirect damages are irrecoverable.

The quantum of damages which the court can award is a just and fair amount that would put the innocent party in the same position as if the contract had been performed.

In *Hadley v Baxendale* [1854], it was held that the claim for loss of profit was not foreseeable and was rejected. The crankshaft broke in the plaintiff's mill. The defendant returned the repaired mill late and plaintiff was unable to use the mill during the repairing time and delay; and claimed for loss of profit for the delay. The defendant argued that he was unaware that the mill would have to be closed during the delay and therefore the loss of profit was too remote.

The test for foreseeability of damages is derived from *Hadley v Baxendale* [1854]. There are two types of losses which can result in claims for damages –

- (i) losses which arise naturally from the breach; and
- (ii) losses which are in the reasonable contemplation of both parties at the time the contract was made.

In this case, it is an express term that the boiler was ordered in contemplation of some lucrative dyeing contracts and it is a breach of condition of the contract. The claim for loss of profit is reasonable and foreseeable.

Answer 5(b)

The question required candidates to analyse the tribunal and law courts for civil claim and their jurisdictions.

The Small Claims Tribunal set up under the Small Claims Tribunal Ordinance (Cap.338) hears monetary claims involving amounts not exceeding HK\$75,000. If the claim exceeds HK\$75,000, the claimant may consider abandoning part of the claim to bring the action in the Tribunal. The main types of claims handled by the Tribunal are debts, service charges, damage to property, and consumer claims. The hearing in the Tribunal is informal and does not allow legal representation. Even if the judgment is in favour of the claimant, the claimant needs to take further action to enforce judgment if the defendant refuses to pay.

The District Court is a middle level court in the court system and it has both civil and criminal jurisdictions. The civil jurisdiction of the District Court is able to hear disputes based on contract with the claim amount up to HK\$3,000,000. The court also tries civil claims or recovery of land with an amount up to HK\$7,000,000, and other cases involving the annual rent or ratable value with an amount not exceeding HK\$320,000. It has jurisdiction over employees' compensation, equal opportunity claims and matrimonial matters including divorce and maintenance. As the court has no appellate jurisdiction to review appeal cases, the appeals against its decisions are heard by the Court of Appeal. Leave from a District Court judge is usually required for such appeal.

The Court of First Instance of High Court has unlimited jurisdiction in both civil and criminal matters. For its civil jurisdiction, the court hears claims over HK\$3,000,000. A High Court judge sits in the court in the absence of a jury, except for defamation. The court also exercises jurisdiction in admiralty, bankruptcy, company winding-up, adoption and probate. When exercising its appellate jurisdiction, it hears appeals from the Magistrates' Courts and the Labour Tribunal, the Small Claims Tribunal and the Obscene Articles Tribunal.

The case is concerned about the dispute between the two company concerns a breach of contract and a claim for loss of profit. It is a civil claim for monetary compensation depending on the amount, a civil action can be taken in the above tribunal or law court.

Answer 6(a)

The question required candidates to analyse the unfair prejudicial conduct under s.724.

S.724 provides that the court may exercise its powers to give relief if, on a petition by a member of a company, it considers that:

- (i) the company's affairs are being or have been conducted in a manner which is unfairly prejudicial to the interests of the members generally or of one or more members (including the member); or
- (ii) an actual, or proposed, act or omission of the company (including one done or made on behalf of the company) is or would be so prejudicial.

There are two elements to the requirement of unfair prejudice, and both must be present:

- (i) the conduct must be prejudicial causing prejudice or harm to the interest of the members or some part of the members of the company; and
- (ii) the conduct complained of must be unfair.

In *Re Taiwan Land Investment Ltd. [1981]*, it was held that the company was a small business with only four directors who had close personal relationships and all participated in the management with mutual trust and confidence; any conduct which amounted to the injury, detriment or damage to the member petitioner, shall be regarded as prejudice conduct and that unfairness and prejudice conduct to members must be co-existence.

The concept of unfairness is similar to the just and equitable ground for winding-up. The notion of fairness must be understood in this context. The notions on fairness have been well explained by the court in *O'Neill v Phillips* [1999]. It was held that for unfair prejudice remedy there must be a breach of the terms of how the affairs of the company should be conducted; and it is unfair for those conducting the affairs of the company to rely on their strict legal powers under the constitution of the company.

S.725(1)(a) provides that the court may make any order it thinks fit for giving relief under a petition for unfair prejudice under s.724(1)(a). Ss.725(2) and 726, the specific remedies which the court may order:

- (i) restraining the continuance of the conduct of the company's affairs mentioned in the petition;
- (ii) that proceedings that the court thinks fit be brought in the company's name;
- (iii) appointing a receiver or manager;
- (iv) making any other order the court thinks fit, whether for regulating the conduct of the company's affairs in future, for the purchase of shares of any member of the company by another member of the same company, for the purchase of shares of any member by the company and the reduction accordingly of the company's capital, or for any other purpose; and
- (v) making an order for the company or any other person to pay any damages that the court thinks fit to a member of the company whose interests have been unfairly prejudiced by the conduct of the company's affairs or by the act or omission.

In this case, Alvin may argue that he was removed from the directorship and excluded from management which is a breach of the mutual agreement and legitimate expectation to manage the company. This conduct is unfairly prejudicial to him as a member of the company. As such, he may apply for unfairly prejudicial remedies under s.724 and the specific remedies available under s.725.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 6(b)

The question required candidates to analyse the grounds for winding up a company.

S.177(1) provides that a company may be wound up by the court if:

- (i) the company has by special resolution resolved that the company be wound up by the court;

- (ii) the company does not commence its business within a year from its incorporation, or suspends its business for a whole year;
- (iii) the company has no members;
- (iv) the company is unable to pay its debts;
- (v) the event, if any, occurs on the occurrence of which the memorandum or articles provide that the company is to be dissolved;
- (vi) the court is of opinion that it is just and equitable that the company should be wound up.

There are two grounds for Alvin. Alvin may rely on the ground that the company is unable to pay its debts under s.177(1)(d) as the company refused to repay the loan to him.

S.178(1)(a) provides that a company shall be deemed to be unable to pay its debts if a creditor, by assignment or otherwise, to whom the company is indebted in a sum then due that equals or exceeds the specified amount, has served on the company a written demand in the prescribed form requiring the company to pay the sum so due; and by leaving it at the registered office of the company; and the company has, for three weeks after the service of the demand, neglected to pay the sum, or to secure or compound for it to the reasonable satisfaction of the creditor. S.177(3) provides that specified amount means the amount of HK\$10,000. The loan of HK\$0.5 million exceeds the specified amount and Alvin may serve statutory demand on the company under s.178.

Alvin may also rely on the just and equitable ground under s.177(1)(f) that it is just and equitable to wind up the company.

The Companies Ordinance does not define the meaning of "just and equitable grounds". It is governed by case law. The courts have allowed the cases where the main object of the company has failed in *Re German Date Coffee Co [1882]*; and where the members have formed a company on the basis of a relationship involving mutual trust, understanding, and confidence which no longer exists and winding-up is a last resort in *Re Yung Yee Holdings Ltd. [2014]* and *Ebrahimi v Westbourne Galleries [1973]*.

In this case, Alvin may rely on the ground that the company is unable to pay its debts under s.177(1)(d) and/ or the just and equitable ground under s.177(1)(f) to wind up the company.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies (Winding Up and Miscellaneous Provisions) (Cap.32).

* * * END OF EXAMINATION PAPER * * *